

BUS311 Lemonade Stand Finance Model

Prepare - Model - Analyze - Decide

From a simple stand to an integrated finance decision

Use this guide with the M04 Lemonade Stand workbook and Bill Ackman's finance lesson:

<https://www.youtube.com/watch?v=WEDlj9JBTC8>

What you will learn

- Translate financing choices into cash, debt, equity, and ownership.
- Connect revenue, expenses, profit, cash flow, and the balance sheet.
- Explain why net income and operating cash flow can move differently.
- Evaluate growth, risk, valuation, and dilution with correctly labeled metrics.

Your deliverable

Submit one completed workbook with all model checks passing and five concise interpretation responses.

Your 50-minute route

Prepare | 0-5 minutes

- Open the video, workbook, and this guide.
- Read the input legend and scan the nine workbook tabs.

Capture | 5-15 minutes

- Enter only the yellow assumption cells.
- Use the video's share, debt, stand, unit, cost, growth, tax, and valuation facts.
- Stop when the workbook status changes to READY.

Build | 15-30 minutes

- Trace Day 1 funding into the opening balance sheet.
- Trace Day 2 cash into the stand and initial inventory.
- Separate gross profit, operating expenses, depreciation, interest, taxes, and net income.

Analyze | 30-40 minutes

- Follow the five-year forecast from operating drivers to cash and equity value.
- Compare the base case with the lower-volume-growth sensitivity.

Decide | 40-50 minutes

- Answer all five interpretation prompts.
- Confirm MODEL STATUS: PASS before submitting.

Build the statements in a connected order

Funding

Investor shares multiplied by price per share produce investor cash. Debt adds cash but also creates interest expense and a senior claim.

Asset transformation

Buying a stand and inventory changes the mix of assets. It does not change total assets by itself.

Operating result

Revenue = cups sold multiplied by price per cup.

Gross profit = revenue minus cost of goods sold.

Operating profit before depreciation = gross profit minus labor.

EBIT = operating profit before depreciation minus depreciation.

EBT = EBIT minus interest expense.

Cash bridge

Start with net income, add back noncash depreciation, and include the release of opening inventory. This is why cash can increase even when Year-1 net income is negative.

Two accounting judgments are intentionally visible

Year-1 tax benefit

The video-replication case rounds the tax effect of the Year-1 loss and treats the benefit as immediately available cash. That produces the video's ending-cash result.

The conservative comparison records no immediate tax benefit. Recognition depends on whether the business can support future taxable income or obtain a current refund.

Do not hide this difference. Explain the assumption behind the result you use.

Founder idea and illustrative goodwill

The video assigns value to the founder's idea and labels it goodwill so the opening balance-sheet equation is easy to see.

Internally generated goodwill ordinarily is not recorded this way under standard financial reporting. Treat it as an explicit teaching convention, not a general accounting rule.

Expansion schedule

The workbook follows the video's fixed schedule of 1, 2, 3, 4, and 7 active stands. It does not automatically buy a stand whenever cash reaches a particular threshold.

Evaluate performance with the right labels

Profitability

- Operating margin = EBIT divided by revenue.
- Net margin = net income divided by revenue.
- Earnings yield = EPS divided by share price.

Investment efficiency

The activity reports a video-style return on gross stand cost: Year-5 EBIT divided by cumulative stand purchases.

This is a useful teaching comparison, but it is not a complete conventional ROIC calculation. A full ROIC analysis would define NOPAT and invested capital consistently.

Growth

Do not calculate a conventional percentage growth rate from a negative earnings base. Mark the comparison N/M until a positive, meaningful base exists.

Historical rate context

The video's 3% risk-free comparison reflects the lesson's historical context. It is not a current market-rate assumption.

Valuation and share transactions

Earnings to value

EPS multiplied by a selected P/E multiple produces an illustrative share price.

Share price multiplied by shares outstanding produces illustrative equity value.

Primary issuance

When the company issues new shares, company cash and shares outstanding both increase. Existing owners are diluted because the ownership denominator becomes larger.

Founder secondary sale

When the founder sells existing personal shares, the founder receives the cash. Company cash and total shares outstanding do not change.

These transactions can involve the same number of shares and price but have different economic consequences. Always identify who receives the cash.

Final submission check

- Every required input is populated.
- All statement and ownership checks pass.
- The sensitivity case recalculates from its own growth assumption.
- All five interpretation responses are complete.
- No formula cell has been overwritten.

Source transcript used for cross-checking the case assumptions:

<https://singjupost.com/everything-need-know-finance-investing-william-ackman-transcript/>